

PACIFICA

Institutional Research Report

DeFi | Perpetual Futures DEX on Solana

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HEADER

- **Stance:** Research-Only
- **Final Score:** 67 / 100
- **Sizing:** Watchlist-sized only; would size up if governance transparency, contract disclosures and post-incentive traction all improve.
- **Asset type:** DeFi | Perps DEX
- **Chain / Stack:** Solana L1 + off-chain matching engine; planned Substrate-based Pacifica L1 (PC-BFT) later.
- **Liquidity regime (today):** Reflexive / Mercenary (high volumes, points + fee promos).

EVIDENCE STRENGTH MAP

T1 Sources Used

- Pacifica docs (overview, trading, fund security, points program, audits, roadmap).
- BlockSec audit of Pacifica perp contracts.
- Third-party data dashboards (DefiLlama, Dune) via context file.
- News from CryptoRank, Phemex, CryptoBriefing on volume, users, TVL/OI.

T2 Sources Used

- DropsTab Pacifica project profile (token stance, AI agent, risk framing).
- Medium article by Przemek Chojceki; other commentary on narrative and volumes.

Direct Checks

- Indirect via included DefiLlama/Dune screenshots and metrics in context file [Fact – T2 proxy].

Evidence Tag Legend

- [Fact – T1] = verified from official docs/audit/news.
- [T2] = community / secondary analytics.
- [Inference] = logical from multiple facts.
- [Estimate] = directional sizing / scenario.
- [Unknown] = explicitly undisclosed.

Key Unverified But Important Items

- Exact PACIFICA token supply, allocations, and vesting if/when token launches. [Unknown]
- Precise Solana program IDs and all key account addresses for Pacifica. [Unknown]
- Multisig council composition and thresholds controlling cold vault and upgrades. [Unknown]

TLDR

What the project is:

- Pacifica is a Solana-based perpetual futures DEX aiming to deliver CEX-like performance with on-chain custody and a future dedicated trading L1.

Protocol mechanics snapshot (1 line, concrete):

- Users deposit USDC into a Solana vault → off-chain engine matches perp orders with up to 50x leverage → PnL/funding settle on-chain in USDC → traders earn non-transferable Pacifica Points.

Why it matters now:

- In 2025 Pacifica rapidly became the top Solana perp DEX by volume, with >\$1B daily notional and ~30k users, shaping Solana's derivatives narrative.

Why this research exists now:

- Need to reconcile high traction with unusual "no-token-for-now" stance, hybrid CEX/DEX architecture, and partially opaque governance before considering meaningful capital allocation.

My current stance + size:

- Research-Only; hypothetical sizing capped at low single digits until tokenomics, contract transparency and decentralization roadmap de-risk.

SCOREBOARD – 5 PILLARS (0 to 20 each)

Pillar	Score
Team and Execution	17 / 20
Technology, Security Model & Auditability	16 / 20
Tokenomics, Incentives & Liquidity Structure	11 / 20
Market Positioning, Narrative & Reflexivity	12 / 20
Risk Management, Governance & Attack Surface	11 / 20
COMPOSITE SCORE	67 / 100

SCORE JUSTIFICATION MATRIX

Team and Execution (17 / 20)

Key Drivers (why score is high): Ex-FTX COO, NFTperp founder, AsyncBlock engineer; deep CEX/TradFi/AI bench; shipped testnet in ~2 months and mainnet in ~6; hit top Solana perp volume quickly. [Fact – T1/T2]

Key Penalties (why not higher): FTX association overhang; no public legal entity clarity; governance and multisig signer opacity; future hiring depth [Unknown].

Net Outcome: Strong builder pedigree and execution, tempered by reputational baggage and still-centralised decision making.

Technology, Security Model & Auditability (16 / 20)

Key Drivers: Hybrid architecture (off-chain engine + on-chain Solana settlement), 50x leverage, cross/isolated margin, advanced orders, hot-cold wallet design, BlockSec audit, future Substrate L1 + PC-BFT + ZK roadmap. [Fact – T1]

Key Penalties: Core contracts and program IDs not fully public; app-chain roadmap ambitious and unproven; off-chain engine currently trusted; only one disclosed audit so far.

Net Outcome: Sophisticated architecture with clear security thinking but limited audit breadth and partial black-box execution.

Tokenomics, Incentives & Liquidity Structure (11 / 20)

Key Drivers: Self-funded (no VC), no live token yet; points reward active traders; future PACIFICA token mooted to align traders/LPs with protocol revenue. [Fact – T1/T2]

Key Penalties: Conflicting signals on whether/when token launches; unclear allocations, supply, and point→token mapping; reliance on points and fee promos risks mercenary flow.

Net Outcome: Alignment potential but high structural uncertainty; currently operating in "pre-token" limbo.

Market Positioning, Narrative & Reflexivity (12 / 20)

Key Drivers: Top Solana perp DEX by volume and share; >\$1B daily, ~54% Solana perp market share; "next-gen hybrid" narrative + ex-FTX COO story and AI angle. [T2]

Key Penalties: Volume potentially inflated by fee cuts and airdrop speculation; narrative partially built on FTX-era tactics; concentrated on Solana's cyclical DeFi revival.

Net Outcome: Clear near-term winner on Solana with reflexive narrative but fragile, incentive-heavy flows.

Risk Management, Governance & Attack Surface (11 / 20)

Key Drivers: Hot/cold architecture with Squads multisig; time-locked upgrades planned; BlockSec audit; geo-distributed signers [Inference]; explicit decentralization roadmap to own L1 + ZK proofs.

Key Penalties: Contracts upgradeable and essentially team-controlled today; multisig signers undisclosed; reliance on Solana and external oracles; token governance model [Unknown].

Net Outcome: Thoughtful security design but governance centralization and opacity remain material.

COMPETITIVE CONTEXT

Direct Competitors

- **Jupiter Perps** – Solana perp DEX integrated into Jupiter aggregator; previous volume leader, now overtaken by Pacifica. [Fact – T2]
- **Drift** – Early Solana perp DEX with cross-margining; volumes now eclipsed by newer entrants including Pacifica. [T2]
- **Hyperliquid** – High-performance app-chain perp DEX targeting pro traders with deep liquidity. [T2]
- **dYdX v4** – App-chain perp DEX with fully decentralized orderbook; benchmark for pro trader UX. [T2]
- **GMX** – Arbitrum-based GLP-style perp DEX serving retail with "real yield". [T2]
- **Aster, Lighter, edgeX, Paradex, Bullet** – emerging perp DEXs across L1s/L2s, often using aggressive incentives or app-chains.

Adjacent Competitors

- **Mango (legacy)** – Solana perp venue crippled by \$112M exploit; status uncertain.
- **CEX perps desks (Binance, Bybit, OKX)** – off-chain but core reference for trader expectations [Inference].

Why This Market Matters Now

- On-chain perp volume is a key driver of DeFi fee revenue and liquidity velocity in 2025. [Inference]
- Post-FTX demand for self-custodial derivatives creates structural tailwind for high-performance perp DEXs. [Inference]

Liquidity Structure & Depth Regime

- **Market type:** Hybrid orderbook (off-chain matching) with on-chain settlement and margin engine. [Fact – T1]
- **Depth snapshot:** Per evidence, daily volume >\$1B with OI ~\$50–60M and TVL ~\$40M, implying high leverage and velocity; wash-trade risk flagged. [Fact – T1/T2]
- **LP concentration / top holders:** Not disclosed; collateral largely USDC; LP/market-maker set [Unknown].

Where This Project Sits vs Peers

- Currently leading Solana perps by volume and share; competitive globally but smaller than Hyperliquid/dYdX by OI; emphasizes CEX-like UX and AI tools instead of heavy token incentives. [Inference]

Dominant Competitive Drivers

- Liquidity depth and velocity vs Hyperliquid/dYdX.
- Execution latency and stability under Solana congestion.
- Governance/audit clarity vs centralized or lightly-audited rivals.

- Narrative around ex-FTX leadership and "ideal exchange" UX.

Competitive Reflexivity Hooks

- Points rewards and low fees attract order-flow → higher volumes → stronger narrative → more pro traders and MM interest → deeper liquidity → more order-flow. [Inference from points + fee promo evidence].

TEAM AND EXECUTION – 17 / 20

Team Visibility and Credibility

– Doxxed founding team: ex-FTX COO Constance Wang, NFTperp founder Jose, engineer Tony (AsyncBlock), plus ex Binance, Coinbase, Jane Street, Fidelity, OpenAI, DeepMind staff. [Fact – T1/T2]

Execution Proof

– Founded Jan 2025; testnet in ~2–3 months; mainnet June 2025; quickly scaled to top Solana perp DEX by volume. [Fact – T1]

Accountability and Communication

– Frequent updates via docs/Twitter; deposit limits raised as stability proved; public audit reference and security writeups. [Fact – T1]

Key Strengths

- Deep CEX and TradFi trading/execution experience [Fact – T1].
- Demonstrated ability to ship complex perp infra rapidly and iterate. [Fact – T1].
- Self-funded; incentives aligned to platform success not VC unlocks. [Fact – T1].

Key Weaknesses or Unknowns

- FTX association risk; users may remain wary despite new design [Inference].
- No transparent org structure, jurisdiction, or long-term hiring/ops plan disclosed [Unknown].

TECHNOLOGY, SECURITY MODEL & AUDITABILITY – 16 / 20

Architecture in Simple Language

– Off-chain orderbook and matching engine handle sub-10ms order execution; on-chain Solana programs manage custody, margin, and settlement; hot wallet + cold Squads multisig treasury structure. [Fact – T1]

Inherited Modules and Dependencies

– Solana L1 execution; Squads multisig; external price oracles (likely Pyth/Switchboard) [Inference]; Rust/Anchor contracts; planned Substrate L1 with Fast HotStuff consensus and future ZK proofs.

Audit Status and Coverage

– BlockSec audited the perp deposit/withdraw program in April 2025; identified issues (unprotected init), with recommendations for immediate fixes; bug bounty up to \$25k. [Fact – T1]

Key Strengths

- High-performance architecture with clear separation of matching vs custody [Fact – T1].
- Thoughtful hot/cold wallet and Squads-based security design [Fact – T1].
- Ambitious roadmap for L1 + ZK proof-of-execution [Fact – T1].

Key Weaknesses or Unknowns

- Off-chain engine currently trusted; ZK/on-chain orderbook still aspirational [Inference].
- Program IDs, full source code and coverage of further audits not public [Unknown].

TOKENOMICS, INCENTIVES & LIQUIDITY STRUCTURE – 11 / 20

Token Roles

- Today: no native token; incentives via non-transferable Pacifica Points. Future PACIFICA token expected to serve governance, fee discounts and MM incentives [T2].

Allocation and Emissions

- Points distributed weekly (amount differs by source: 500k vs 10M/week – contradiction); speculative 1:10 PP→PACIFICA mapping suggests low single-digit billions supply [Estimate].

Incentive Structure and Sustainability

- Heavy volume-based points and fee rebates currently; team claims anti-wash measures in points formula and focus on non-inflationary lender yields later. [T1/T2]

Reflexivity and Treasury Dependencies

- Fees (~0.015% maker / 0.04% taker) accrue to protocol treasury; potential future redirection to token stakers/DAO pending governance design [Inference].

Liquidity Structure

- USDC-only collateral; leverage up to 50x; high notional turnover vs TVL and OI; no token-denominated liquidity mining so far.

Distribution and Fairness Notes

- No VC allocations; likely heavy community/points allocation and team share; absence of private rounds [Inference].

Key Strengths

- Self-funded, no VC overhang; avoids classic vesting dump dynamics [Fact – T1].
- Points system targets real traders and community contributors, not pure capital pools [T1/T2].

Key Weaknesses or Unknowns

- Exact PACIFICA token design, allocations, and PP conversion ratio unannounced [Unknown].
- Conflicting weekly points numbers and unclear long-term incentive budget [Unknown].

MARKET POSITIONING, NARRATIVE & REFLEXIVITY – 12 / 20

Category and Role

- Solana-based perp DEX offering CEX-like performance; aiming to be flagship derivatives venue and eventually its own trading-focused L1 ecosystem.

Narrative Hooks

- "Ideal exchange" built by ex-FTX COO; hybrid CEX/DEX design; AI trading assistant; tokenless growth phase; Solana DeFi comeback flagship. [T2]

Competitor Advantage or Weakness

- Advantage: speed, UX, early volume lead, self-custody. Weakness: trust in ex-FTX leadership, Solana dependence, limited decentralization vs pure on-chain orderbooks. [Inference]

Liquidity Flows and Timing

- 2025 Solana perp volumes surged, with Pacifica capturing ~54% share; flows likely sensitive to fee promos and airdrop expectations. [Fact – T2]

Sentiment and Narrative Reflexivity

- Strong buzz among Solana traders and "airdrop farmers"; volume spikes around incentive changes; speculation linking Pacifica to FTX-style growth playbook. [T2/Inference]

Key Strengths

- Clear category leadership on Solana by volume/OI [T2].
- Distinct narrative (CEX speed + DeFi custody + AI) vs peers [T2].

Key Weaknesses or Unknowns

- Longevity of flows if fees normalize and no token announced [Unknown].
- FTX-linked narrative may turn negative under stress [Inference].

RISK MANAGEMENT, GOVERNANCE & ATTACK SURFACE – 11 / 20

Governance Model

- Today: team-controlled with upgradeable contracts; Squads multisig for cold vault and (over time) contract upgrades; DAO/token governance promised later. [Fact – T1]

Key Control and Multisig

- Geo-distributed council via Squads; thresholds unspecified; signer identities undisclosed [Unknown].

Upgrade Paths and Emergency Powers

- Team can upgrade contracts; plan to tie upgrades to time-locked multisig; emergency pause described but details limited [Unknown].

Treasury Governance

- Cold vault multisig controls treasury; policy on fee usage, insurance and future staking rewards not fully articulated [Unknown].

Audit Coverage and Security Track Record

- One BlockSec audit published; bug bounty; no major exploits reported to date [Fact – T1].

Early Stage Fragility

- Hybrid design + fast growth implies high operational and economic stress; matching engine failure or oracle issues could cascade. [Inference].

Oracle & Dependency Map

- **Oracles:** Likely Pyth/Switchboard; docs emphasize reliance on "reliable price oracles" but no explicit list [Unknown].
- **Bridges:** Multi-chain deposits hinted; specific bridges and trust assumptions not detailed [Unknown].
- **L1 dependence:** Solana outages/latency issues translate directly into Pacifica execution and settlement risk [Fact – T1].
- **External contracts:** Squads multisig, potential future lending module, and bridging infra expand attack surface [Inference].

Security Model Reality Check

- **Upgradeability:** Contracts upgradeable; eventual time-locks promised but not confirmed live [Unknown].
- **Admin keys / multisigs:** Team + undisclosed council control; social trust heavy today [Fact – T1/T2].
- **Backdoors / god modes:** No explicit "seize funds" mode described; emergency pause and upgrade powers still powerful central levers [Unknown].

Attack Surface Map (Technical/Economic)

- **Technical:** Solana program bugs (e.g., unprotected init), oracle manipulation, matching engine compromise, Squads multisig misconfiguration.
- **Economic:** High leverage, thin depth, potential for cascading liquidations and insurance fund stress; incentive-driven volume drop-offs.
- **Stress points and complexity risks:** Hybrid off-chain/on-chain state, future app-chain migration, and ZK proof systems all increase complexity risk [Inference].

Thesis-Breaking Risks (Kill-Shots)

- Prolonged Solana halt or severe oracle manipulation causing mass liquidations and user loss.
- Governance failure or multisig compromise draining cold vault.
- Regulatory clampdown on on-chain perps forcing shutdown or geofencing of key user bases.

Attack Surface Map (Governance / Social)

- **Governance:** High centralization; potential for insider coordination or capture until DAO genuinely live.
- **Social:** FTX-linked founders could trigger social "bank run" under rumor or incident.

Governance Failure Paths (Explicit)

- If council signers collude or are compromised, cold vault funds and upgrade path could be abused → partial or total fund loss.
- If upgrade path is opaque or rushed, a buggy upgrade could lock funds or misprice positions.
- If treasury and future emissions controlled tightly by core team, PACIFICA token governance may be effectively centralized.

CONTRADICTION LOG

- "No native token and no plans for an ICO/airdrop" (DropsTab profile) vs "Planned PACIFICA governance/utility token with potential PP→token mapping and Bitget premarket event" (context file/Bitget Academy). **Stronger source:** mixed; both T1/T2, leaning T1 to docs + Bitget.
- Weekly points distribution of 500k (DropsTab) vs 10M (Pacifica Points Program docs in context). **Stronger source:** Pacifica docs (T1).

VERDICT

Clear synthesis: Pacifica is a high-performance Solana perp DEX using a hybrid architecture, aiming to evolve into its own trading-focused app-chain with progressively decentralized governance and a still-undefined token model.

Clear stance: Solid execution and meaningful traction justify close monitoring, but unresolved tokenomics, governance opacity and reflexive incentives cap conviction despite strong tech and team.

Why the score is fair: Scores would rise with transparent contract addresses, clarified token design and robust post-incentive traction; they would fall if volume proves largely non-organic or governance centralization persists.

Evidence-linked Sizing Logic

What pushes sizing up:

- Verified contract/program IDs and public repos, plus additional audits with clean follow-ups.
- Clear PACIFICA token design with fair distribution and explicit point conversion.
- Sustained volumes and OI after fee promos/points taper, indicating sticky product-market fit.

What keeps sizing capped or pushes sizing down:

- Continued opacity around multisig signers, upgrade controls, and treasury policy.
- Signs that volume is predominantly wash or mercenary farming (volume/OI divergence worsens).
- Regulatory actions or guidance targeting on-chain perps, especially in key user jurisdictions.

UPSIDE CASE

- Pacifica cements itself as dominant Solana perp venue with durable >\$1B daily volume [Estimate].
- PACIFICA token launches with community-heavy distribution and aligned fee-sharing.
- Pacifica L1 launches successfully, with PC-BFT and ZK execution proofs gaining trust as best-in-class trading chain.
- Governance decentralizes into credible DAO with transparent multisig and parameter setting.

RISK CASE

- Solana or oracle incident triggers mass liquidations, damaging user trust.
- Volume collapses post-incentives, with traders rotating to rivals offering richer token rewards.

- Governance or multisig failure leads to frozen or lost funds.
- Regulatory pressure forces aggressive geofencing or limits growth in major markets.

SCENARIO MAP – BULL, BASE, BEAR

Bull Case

Pacifica sustains leadership on Solana and successfully launches PACIFICA and/or Pacifica L1. Hybrid architecture plus ZK proofs win institutional order-flow, while governance decentralizes and tokenomics align traders, LPs, and treasury. [Inference]

Bull Case KPIs (on-chain where possible) [Estimate]:

- Daily perp volume sustainably >\$1.5–2B; OI >\$150M; TVL >\$150M with diversified collateral.
- Verified contracts, fully public repos, multiple audits, active DAO governance with transparent proposals and signer sets.

Base Case

Pacifica remains a top Solana perp venue but shares market with Drift/Jupiter and cross-chain rivals. Token launches with decent but not exceptional design; app-chain roadmap slips or narrows, and governance decentralization is partial but acceptable.

Base Case KPIs [Estimate]:

- Daily volume in \$400–900M range; OI ~\$60–120M; TVL ~\$60–120M.
- One main audit + incremental reviews; multisig disclosed but team still primary decision-maker; token's role mostly fee discounts and vote signaling.

Bear Case

Incentive-driven flows unwind, volume migrates to competitors or new L2/ZK perps, and regulatory or governance shocks hit Pacifica. Solana or oracle instability plus centralization perceptions lead to confidence loss and capital flight.

Bear Case KPIs [Estimate]:

- Daily volume falls below \$150M; OI < \$30M; TVL < \$25M; market share sharply reduced.
- Little to no governance transparency, stalled audits or security incident; tokenomics perceived as misaligned or unclear, pressuring valuation and usage.

WHAT I AM WATCHING NEXT

- Audits or repos to be published or updated, plus confirmation that prior BlockSec findings are resolved.
- On-chain metrics: perp volume vs OI and TVL, plus user retention post-promotions.
- Governance disclosures: program IDs, multisig signer sets, thresholds, and upgrade time-locks.
- Incentive changes: evolution of points program, fee promos, and any future PACIFICA token design.

- Pacifica L1 roadmap updates: concrete milestones, testnet/mainnet timelines, ZK proof integration details.

UNKNOWN VARIABLES THAT MOVE CONVICTION (CRYPTO-SPECIFIC)

- Real revenue split and long-term treasury policy between team, token holders, and insurance fund [Unknown].
- Undisclosed multisig signers, their independence, and any external oversight on treasury/upgrade decisions [Unknown].
- True incentive runway, market-maker arrangements, and degree of wash or self-trading in reported volumes [Unknown].

BIAS, POV & TIME SENSITIVITY

My bias / POV: I am inclined to like high-performance perp DEXs and Solana-based infra, so I may overweight execution and UX while underweighting governance opacity.

What new info would most change my stance: full contract/address disclosure with robust audits; clear PACIFICA tokenomics; evidence of sticky, organic volume after incentives; or, conversely, a security/governance incident or regulatory action.

Time sensitivity notes:

- **Fast decaying findings:** specific fee promos, points multipliers, and short-term volume spikes.
- **Slow changing structural points:** hybrid architecture, core custody model, self-funded status, ex-FTX leadership, and long-term decentralization roadmap.
- **Items requiring periodic review:** on-chain KPIs (volume, OI, TVL, retention), incentive program changes, governance/DAO progress, and multisig transparency.

Not financial advice. Research only; execution depends on liquidity, flow and market structure.